

South West Pinnacle Exploration Ltd

Concall Tracker · Filed under Q1 2027 · Reading the last 3 earnings calls (Q2 FY26 → Q1 FY27)

What the company does (in one line): South West Pinnacle is a private *mineral-exploration and drilling services* company — it is hired by miners and oil-and-gas firms to drill and survey the ground (coal, gold, copper, coal-bed methane/"CBM" = natural gas trapped in coal seams, aquifer/groundwater mapping, seismic surveys) to find and measure what lies beneath, so its clients can decide where to mine. It earns fees per project; it does not (yet) own producing mines. It also has two mining joint-ventures (JVs) in Oman and a coal block awarded to it in Jharkhand that it plans to mine itself in future.

1. Snapshot

Measure	Value	Plain-English read
Market cap	~₹764 cr	The whole company is valued at about ₹764 crore on the market.
Share price / P/E	₹234 · 21x	Investors pay about 21 rupees for every 1 rupee of yearly profit — a fairly rich price that already bakes in growth.
FY26 revenue	₹243 cr (+35% YoY)	Total sales for the year to Mar-2026, up about a third over the prior year — strong growth.
FY26 net profit	~₹31–33 cr (+101% YoY)	Yearly profit roughly doubled (₹31 cr reported; management cites ~₹33 cr including its share of Oman JV profit).
FY26 operating margin	~24%	About 24 paise of every sales rupee is operating profit — healthy for a services business, and it has been rising.
Return ratios (FY26)	ROCE 19–23% · ROE 16%	The money invested in the business earns a good return; both ratios improved sharply during FY26.
Debt	~₹80 cr (Mar-26) → ~₹15 cr net (Jun-26)	Borrowings were cut hard; debt-to-equity is now ~0.39 (low) and management says it is heading toward debt-free.
Order book (Jun-2026)	₹761 cr (all-time high)	Confirmed future work worth ~3x one year's sales — strong revenue visibility for the next few years.

Figures from Screener snapshot / financial tables and management commentary. Small differences between reported (₹31 cr) and management-cited (₹33 cr) net profit reflect the share of Oman JV profit and consolidation.

2. Concall coverage

South West Pinnacle held its **first-ever earnings call only in October 2025**, so the public concall record is short. All three available calls were read in full for this report.

Quarter	Call date	Transcript read?
Q2 & H1 FY26 (Sep-2025 qtr)	30 Oct 2025	Yes — full (first-ever call)
Q4 & FY26 (Mar-2026 qtr)	06 May 2026	Yes — full
Q1 FY27 (Jun-2026 qtr) ★	22 Jul 2026	Yes — full (latest)

Coverage spans ~9 months / 3 calls. Because fewer than four calls exist, the consistency read below is based on a short track record and is flagged accordingly.

★ **Latest concall highlights — Q1 FY27 (call 22 Jul 2026)**

- **Profit jumped despite flat-ish sales.** Q1 revenue ₹62 cr (+54% vs the same quarter last year), operating profit (EBITDA) ₹15 cr (+157%), net profit ₹9.3 cr — up nearly 4x from ₹2.5 cr a year ago. The big profit jump on modest sales growth shows operating leverage (fixed costs already covered, so extra sales drop mostly to profit).
- **Order book hit an all-time high of ₹761 cr** — more than double the ~₹321 cr of a year earlier. This is the single most important number: it locks in visibility for the next 3–5 years.
- **Two marquee wins now feeding revenue:** execution began on the largest-ever order — ₹307 cr from Hindustan Zinc (Rajasthan, 4-year) — and the Reliance CBM contract was *extended by ₹166 cr*. These two together are ~60% of the order book.
- **New client door opened:** empaneled by Oil India Ltd for 2D/3D seismic surveys on its onshore blocks — a fresh revenue avenue.
- **Balance sheet strengthened:** CRISIL upgraded the credit rating from BBB to BBB+; net debt down to ~₹15 cr (debt-equity ~0.39); preferential warrants converted to equity.

- **Tone: confident but candid.** Management flags the business is seasonal/cyclical (Q1 subdued, Q2 weakest due to monsoon, H2 strongest) and says it has historically been conservative and beaten its own guidance.

Business mix & capacity (quick-glance)

- **Domestic vs export split:** Not broken out as a percentage. Reported revenue is essentially all **domestic (India)**; the overseas (Oman) business is a set of JVs consolidated only as a *share of profit* (~₹1.3 cr in Q1 FY27), not as line-by-line revenue — so exports barely show up in the topline.
- **Order-book quality:** ~77% **private** / ~23% **public** sector (Jun-2026), improved from ~60/40 a year ago — private clients pay faster, aiding cash flow.
- **Capacity utilization:** Fleet of **43 drilling rigs** (up from 40), running at "**more than 100%**" — i.e. fully deployed, with 10+ subcontracted/hired rigs picking up the overflow. There is essentially no idle capacity; growth requires buying more rigs (several are on order).

★ 3. Earning-trigger thesis

The core trigger is a **structural surge in India's mineral- and energy-exploration spending** — the government is auctioning hundreds of coal/mineral blocks and pushing energy security and critical minerals — which is filling South West Pinnacle's order book at record speed (₹321 cr → ₹761 cr in a year, ~2.4x). Because it runs a fixed-cost, asset-based service model, once its rigs and fixed costs are covered, incremental orders convert to profit at a much higher rate (FY26 revenue +35% → profit +101%; Q1 FY27 profit +289%). On top of this core services engine sit two *longer-dated, capital-heavy options* — its own Jharkhand coal mine and the Oman mining JVs — which could add a materially new revenue line if they come good, but are unproven and years away.

Trigger	What management said	Evidence so far	Horizon	Strength
Record order book from exploration super-cycle	Order book at all-time-high ₹761 cr; 3–5-yr visibility; all domains "firing"; ~20% revenue CAGR	Order book 2.4x YoY; HZL ₹307 cr & Reliance ₹166 cr won and in execution; FY26 sales +35% (beat 15–20% guide)	Now → 3–5 yrs	Strong concrete, live, evidenced
Operating leverage on a fixed-cost model	Profit grows "abnormally" faster than sales once fixed costs are covered	FY26 PAT +101% on +35% sales; Q1 FY27 PAT +289% on +54% sales; margins 24–26%; ROCE 16%→23%	Ongoing	Strong clearly playing out
Jharkhand coal block (own mining)	~84 MT reserves; ~₹300–400 cr peak annual revenue, ~46% EBITDA; ~₹400 cr capex in 2 phases	Exploration <i>completed</i> ; geological report being finalised; mining plan next; revenue only FY2028–29 (24.25% shared with govt)	FY29+	Unproven timeline already slipped; heavy capex vs balance sheet
Oman mining JVs (copper/gold)	Alara services JV (USD 125M, ~₹100 cr/yr, 5–7% margin) + 1,400 sq-km exploration block	Alara JV profit ₹3.5–4 cr last qtr (35% share); 2nd JV airborne survey done, still exploring; production ~2030	2030+	Moderate real cash from JV1, but JV2 far off & capital-hungry

4. Management consistency scorecard

Because there are only three calls, this is a **short but so-far-coherent** record. The same management team (Vikas Jain — CMD, Piyush Jain — JMD, Dinesh Agarwal — CFO) has told a steady story across all three, and has largely *delivered or beaten* what it promised — with one clear slippage (Jharkhand timing).

Period	What was promised / said	What actually happened	Verdict
Q2 FY26 (Oct-25)	15–20% revenue growth guidance; H2 stronger than H1	FY26 revenue grew 35% — comfortably ahead of the guide	Delivered (beat)
Q2→Q1 FY27	Order book to keep rising; "significant" order inflows coming	Order book ₹412 cr → ₹580 cr → ₹761 cr across the three calls	Delivered
Q4 FY26 (May-26)	Won largest-ever ₹300 cr+ Hindustan Zinc order; execution to start "in two weeks"	Execution commenced in Q1 FY27; contract now feeding revenue	Delivered
Q2 FY26	Reliance CBM Phase-2 to be a "major growth driver"; extensions likely	Ran through the year; extended by ₹166 cr in Q1 FY27	Delivered
Q2 FY26	Cut debt to "lowest level"; add rigs (5 on order)	Debt ~₹80 cr → ~₹15 cr net; fleet 40 → 43; rating upgraded to BBB+	Delivered
Across calls	Jharkhand coal mine: ₹100 cr EBITDA run-rate originally pegged to 2027	Pushed to 2028, now production only in FY2028–29; still pre-mining-plan	Slipping (honestly disclosed)
Q4 FY26		Still only "in talks"; nothing in order book yet	Too-early / talked-up

	UCG (underground coal gasification) as a "phenomenal" new domain "this year"	
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Narrative drift: The core story — an exploration-services order-book boom feeding operating-leverage-driven profit growth — has stayed *steady and been over-delivered* across all three calls. The drift is confined to the future mining optionality: the Jharkhand production timeline has quietly slid (2027 → 2028 → FY29), and management occasionally talks up early-stage themes (UCG, "super-cycle") that are not yet in the numbers. To their credit, they amended their own presentation when Jharkhand slipped and are candid about seasonality and conservatism. The main watch-items are (a) the two contracts (HZL + Reliance) being ~60% of the book — a client-concentration risk — and (b) whether the heavy Jharkhand/Oman capex can be funded without straining a still-small balance sheet.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and currently-live driver: a record ₹761 cr order book (2.4x in a year) built on a genuine, government-led exploration up-cycle, converting to fast profit growth through operating leverage (FY26 profit +101%, Q1 FY27 +289%). Marquee orders from Hindustan Zinc and Reliance are already in execution. The trigger is real and visibly playing out. The future mine-ownership options (Jharkhand, Oman) are upside, not the basis of this YES — and they are unproven, so the YES rests on the core services engine.

Management consistent? → MAYBE (leaning positive; limited to a 3-call history)

On the evidence available, management has been impressively consistent — steady story, guidance beaten, order book and margins delivered, debt cut, rating upgraded. The reason this is MAYBE rather than YES is simply that the public concall record is only three calls old (first-ever call Oct 2025), which is too short to prove consistency *through a full cycle*; and the one multi-quarter promise that can be tracked — Jharkhand mining timing — has already slipped twice. Verdict should upgrade to YES if the next few calls keep delivering the order-book-to-profit conversion and the Jharkhand mining plan progresses on the (revised) schedule.

Sources: South West Pinnacle Exploration Ltd earnings-call transcripts — Q2 FY26 (30 Oct 2025), Q4 FY26 (06 May 2026), Q1 FY27 (22 Jul 2026), via Screener.in; plus Screener financial snapshot tables. This is not investment advice. Do your own due diligence.